Financial Statement Analysis: Tata Consultancy Services (TCS)

NSE: TCS | BSE: 532540 | IT Services | Bluestock Data Analyst Internship, Week 2

1. Company Snapshot

TCS is India's largest IT services company, part of the Tata Group, with BFSI (banking, financial services and insurance) as its biggest revenue vertical. Its financial year ends on 31 March, so FY26 means April 2025 to March 2026. This analysis uses consolidated figures.

2. Profit & Loss Trend

₹ crore (consolidated)	FY24	FY25	FY26
Revenue from operations	2,40,893	2,55,324	2,67,021
Revenue growth (YoY)	6.9%	6.0%	4.6%
Net profit (PAT)	46,099	48,797	49,454
Net profit growth (YoY)	–	5.8%	1.3%
Net profit margin	19.1%	19.1%	18.5%
Operating margin	–	~24.3%	25.0%

Revenue grew every year, but the pace slowed from 6.9% to 4.6%. In constant-currency terms FY26 revenue declined 2.4%, so reported growth was helped by currency movement. Net profit growth slowed more sharply (1.3%), which pulled net margin down from 19.1% to 18.5%, even though operating margin reached its highest level in four years (25%). Profit before tax was almost flat (about ₹65,500 crore in both years) despite higher operating profit, which points to lower other income or other items below the operating line.

3. Balance Sheet Position (31 March 2026)

- **Total assets:** ₹1,82,372 crore.
- **Net worth (shareholders' equity):** ₹1,07,240 crore, about 59% of total assets, so the company is largely funded by its own money rather than debt.
- **Reading:** an asset-light services business with no heavy plant or inventory, and a very strong, low-leverage balance sheet.

4. Cash Flow Statement

- **Free cash flow FY26:** ₹48,424 crore, about 98% of net profit.
- **Operating cash flow:** about 111% of net income for the year (company fact sheet), meaning reported profit is fully backed by real cash.
- **Shareholder payout:** ₹39,571 crore in FY26 through dividends and buybacks, so cash is returned rather than left idle.
- **Latest quarter (Q1 FY27):** net profit ₹13,420 crore, down 2.6% from Q4 FY26 but up 4.7% year-on-year; interim dividend ₹12 per share.

5. Ratio Analysis

Ratio	Calculation (FY26)	Result	Reading
Net Profit Margin	49,454 ÷ 2,67,021	18.5%	Strong
Return on Equity	49,454 ÷ 1,07,240	~46%	Excellent
Equity ratio	1,07,240 ÷ 1,82,372	~59%	Healthy
Asset turnover	2,67,021 ÷ 1,82,372	~1.46x	Asset-light
FCF conversion	48,424 ÷ 49,454	~98%	Cash-backed

Price-to-Book (PB)	Market cap 8,95,000 ÷ 1,07,240	~8.3x	Premium
PE Ratio	Market cap 8,95,000 ÷ 49,454	~18x	Moderate

Market cap, PE and PB use the figures reported on 3 August 2026 and move daily with the share price; refresh them before submitting.

6. Conclusion

TCS is highly profitable (about 18.5% net margin, about 46% ROE), converts nearly all profit into cash, and carries a strong equity base. The main watch-point is slowing growth: revenue growth fell for two years running and constant-currency revenue shrank in FY26. The market values it at about 18x earnings and 8x book, a premium that reflects its stability and cash returns rather than rapid growth. This is an analytical reading of past results, not investment advice.

7. To Complete from Screener.in

I could not verify these four figures from a reliable source, so look them up and add them here before submitting:

Metric	Formula	Where to find it (Screener.in → TCS)
Current Ratio	Current assets ÷ Current liabilities	Balance Sheet: Other assets / Other liabilities
Debt-to-Equity	Borrowings ÷ Equity	Balance Sheet: Borrowings (near zero for TCS)
EPS	Net profit ÷ shares outstanding	Top ratios or Profit & Loss: EPS in ₹
Dividend per share	Total dividends ÷ shares	Corporate actions / Profit & Loss

Sources: TCS Q4 FY26 press release and Q4/Q1 FY27 fact sheets (tcs.com investor relations); Screener.in-sourced summaries; Angel One Q1 FY27 results note. Always cross-check numbers against the TCS annual report.